

STATE OF NEW YORK

9554 - - B

IN ASSEMBLY

January 14, 2026

Introduced by M. of A. MEEKS, MAGNARELLI, REYES, CUNNINGHAM, GLICK, SOLAGES, SCHIAVONI, WRIGHT, KASSAY, P. CARROLL, RAGA, LUNSFORD, VALDEZ, STIRPE, LUPARDO, McMAHON, CASHMAN, CLARK, BRONSON, HEVESI, LAVINE, FORREST, HYNDMAN, ANDERSON, LEE, O'PHARROW, ALVAREZ, DE LOS SANTOS, HOOKS, SAYEGH, JENSEN -- read once and referred to the Committee on Banks -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- again reported from said committee with amendments, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the banking law, in relation to enacting the "deed protection act"

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Short title. This act shall be known and may be cited as
2 the "deed protection act".

3 § 2. The banking law is amended by adding a new section 595-d to read
4 as follows:

5 § 595-d. Foreclosure dependent on fraudulent title prohibited. 1. No
6 mortgage banker or mortgage loan servicer shall commence, maintain, or
7 proceed with a foreclosure action on a mortgage loan where such mortgage
8 banker or mortgage loan servicer knows or has reason to know that the
9 mortgage securing such loan is dependent on a deed, conveyance, or other
10 instrument affecting title to residential real property that was
11 procured by fraud, forgery, or other unlawful means, such that the mort-
12 gagor did not obtain a valid interest in the property.

13 2. Prior to commencing a foreclosure action, a mortgage banker or
14 mortgage loan servicer shall conduct a reasonable review of the mortgage
15 loan and available records to determine whether there is a reasonable
16 basis to believe that such mortgage loan is secured by a valid and
17 enforceable interest in the mortgaged residential real property.

18 3. Nothing in this section shall be construed to limit or impair any
19 right or remedy available at law or in equity relating to fraud,
20 forgery, or other unlawful acts affecting title to residential real
21 property.

22 4. A violation of this section shall constitute a violation of this
23 article.

24 § 3. This act shall take effect immediately.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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